

HORIZON INC.

EVALUATION REPORT PRESENTATION



Outline

INTRODUCTION

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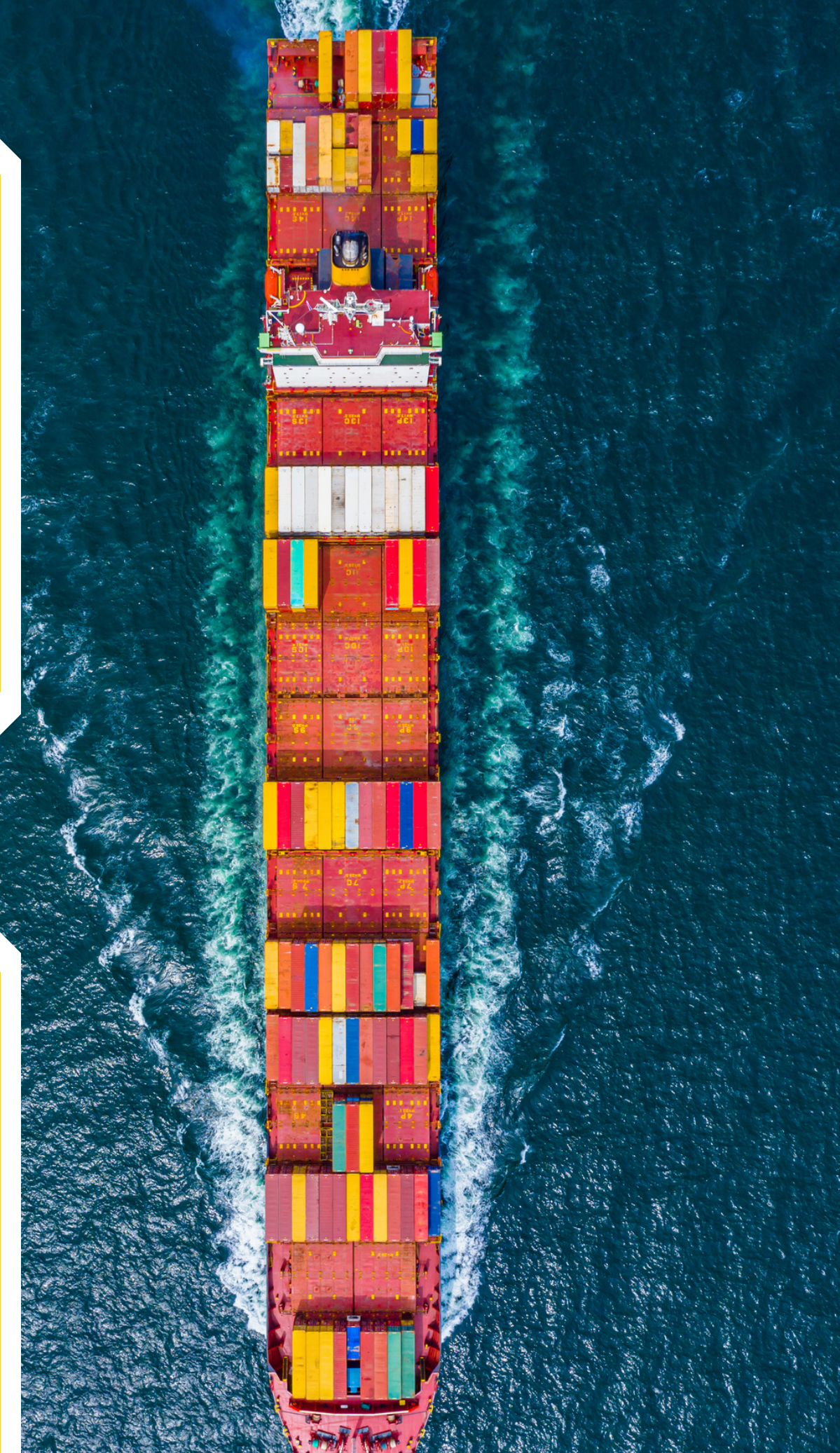
RECOMMENDATION

HORIZON INC.

OUR COMPANY

We are an S&P broker company located in New jersey specialized in maritime assessments, ship recycling and ship demolition, advising, sales and acquisition of ships and off shore boats.

There are many reasons for industry players to choose Horizon Inc as their preferred partners in the industry.



HORIZON INC.

Bet Perfomer



Proprietary files of ships for sales and review from S&P brokers shows The Bet Perfomer



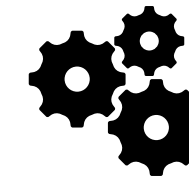
Built in 1997

11 years Old



172,000 DWT

Capesize Bulk Carrier



Burmesiter & Wain (B&W Engine)

Nine holds and hatches



Built in Japan

Nihon Kokan Kabushiki Kaisha (NKK)

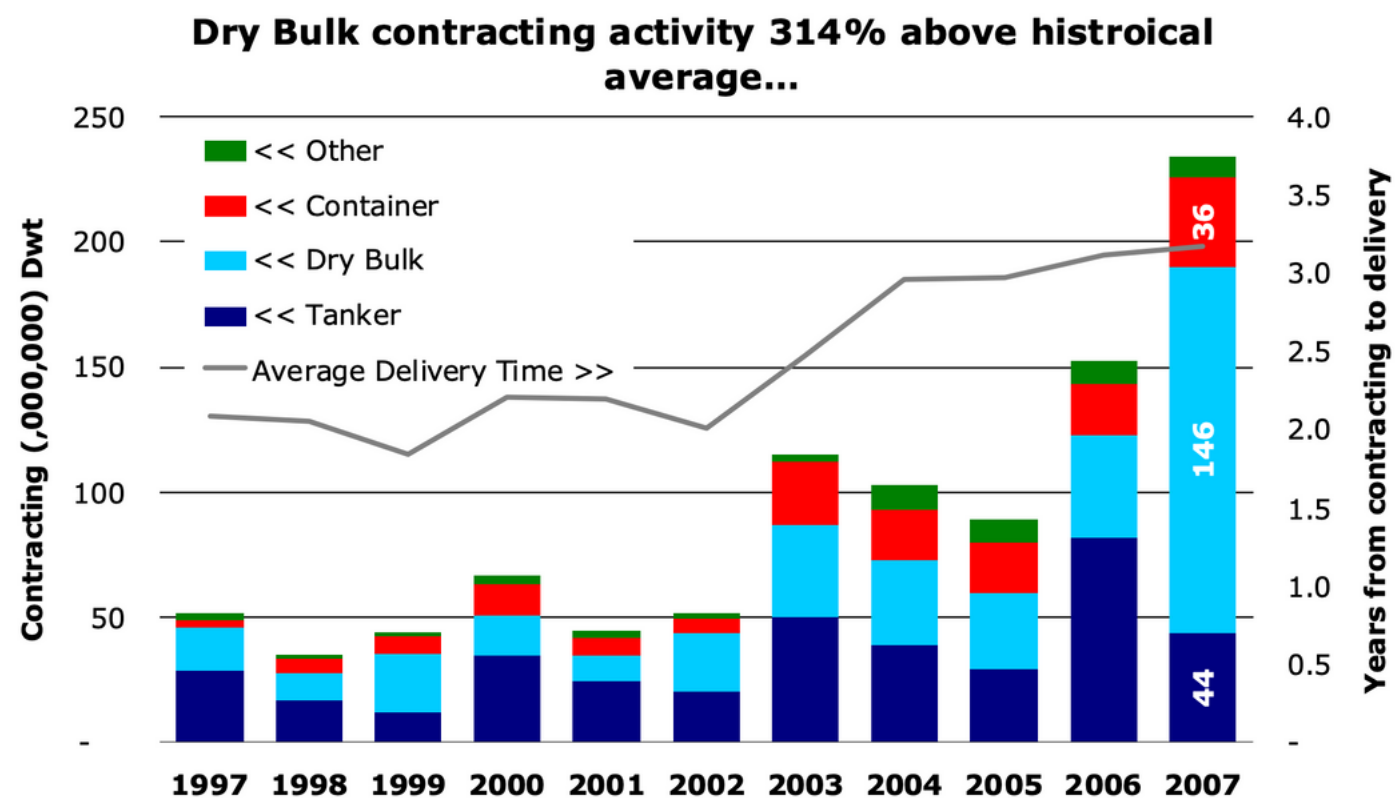


\$70 million

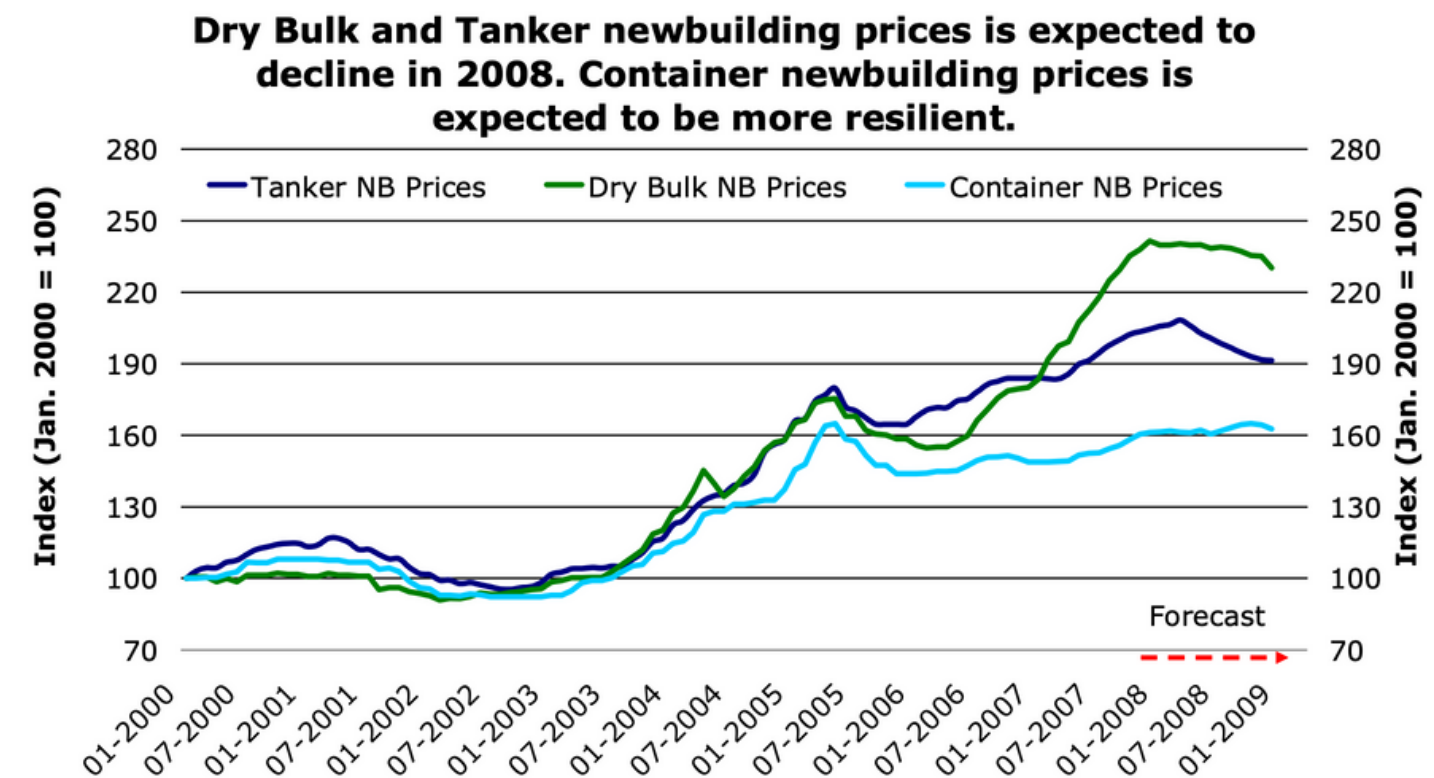
Under the name Mineral Poterne

The Market

Significant developments in shipping from Jan 2007 to May 2008 for the main shipping segments show a possible future market direction boom. Global GDP growth is still predicted to be high, and many emerging economies are expected to present strong growth rates for 2009. Several reports including Danmarks Skibskredit maintains fundamental long-term skepticism that the current buoyant Dry Bulk freight rates and ship values will continue. They developed a model forecasting the new building price trend for the three main segments.



Sources: Clarksons, Danish Ship Finance



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Our Approach

To begin the analysis of the data presented, we carried out benchmark assessments of the data emphasizing the trend of values for the different groups of the ships and with an average Capesize index within the period.

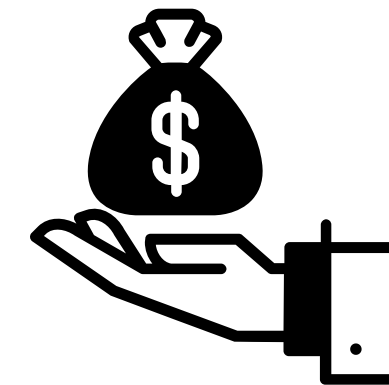
Secondly, estimated market ship valuations were done to analyze the evolution of ship valuations for the vessels, per the most recent couple of months, age category, and Capesize index.



Market



Cost

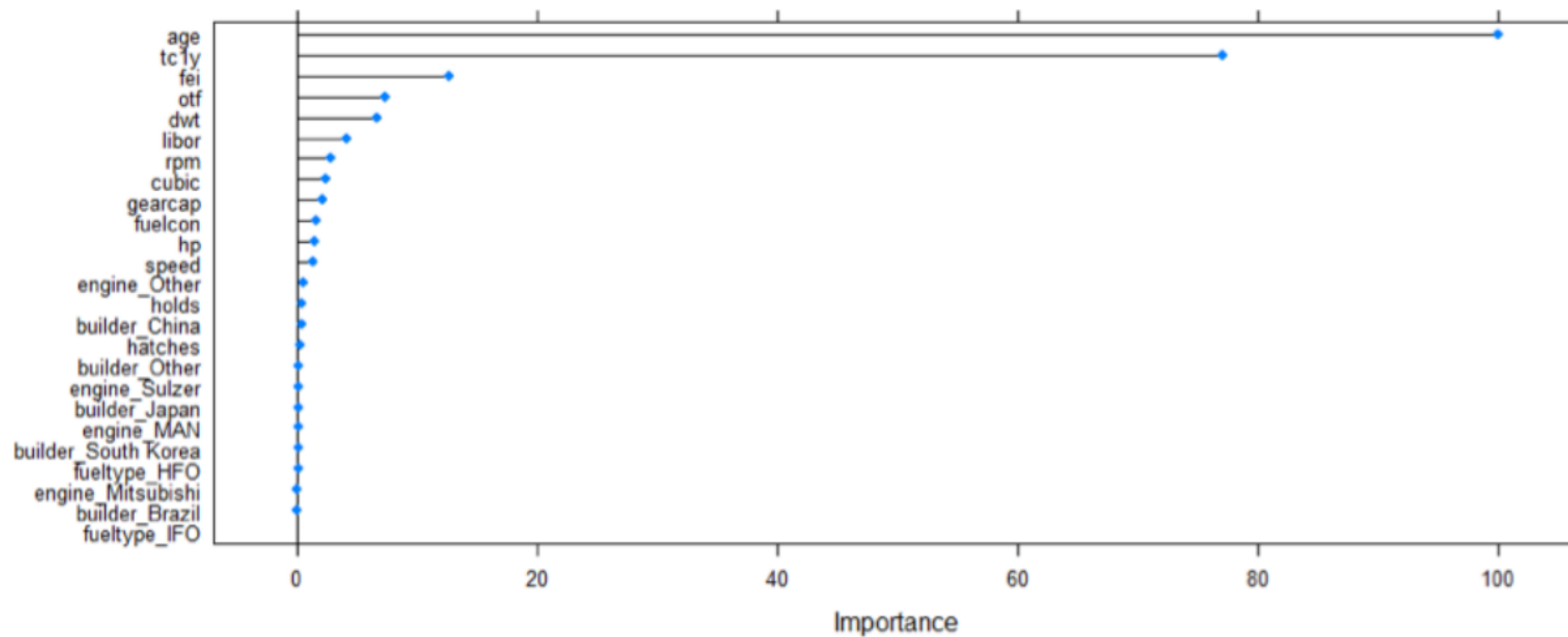


Income

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Top Predictors

Our top Predictors of price are supported by a research Clarkson Research and Vessel Value



Source: Clarkson Research

AGE AT SALE

DEAD WEIGHT TONNE

CAPESIZE INDEX

Other Features

Benchmark prices charts may be impacted in some scenarios based on specific valuation criteria adjustments such as vessel engines that were not provided. are some of the features that may affect the ship prices.

1 ENGINE
Some engines are penalized by 700K per 100K deadweight

2 EXTRA FITTINGS
fitted with Scrubbers, a vessel may get a premium of 1.5ml.

3 SHIPYARD(BUILDER)
Dry bulk vessel is built in Japan, it is awarded 7% on its basic valuation

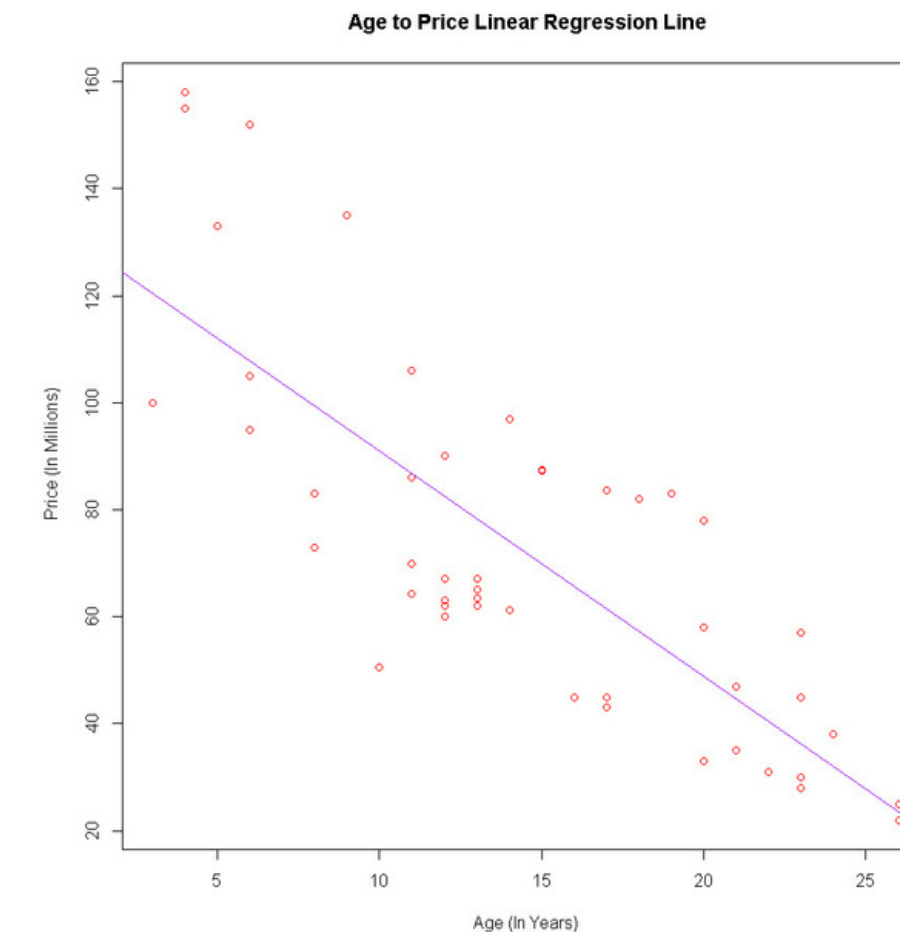
4 PRESENT LOCATION
Current location of the ship

Analysis

From the plot, we can see that high values for vessel age mainly affect the price negatively, with only a few combinations having a positive effect. The age curve has larger confidence bands.

So far, the findings regarding the effect age have on price do not coincide with existing literature considering depreciation in the economic life.

The scale of impact on the price for each interaction term with other variables is shown in the detailed report.



01 Bench Marking

Average Price :72.96
Capesize: 12479
Deadweight: 159,000

02 Linear Model

R Squared: 92.5%
Adjusted Squared: 91%
Standard error: 16.6

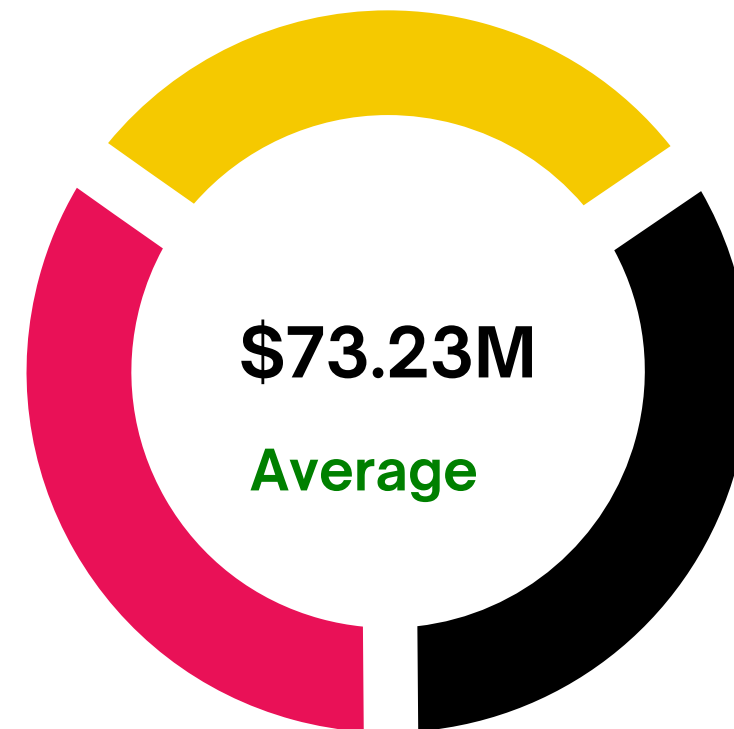
03 Verification

T Value: 2.67
Optimization: \$75.13million
F: 165.3

Key Takeaways

Analyzing decision variables based on the specification of the Bet Performer and market constraints, we conclude that the optimal value for the vessel should be \$75.13million

\$125.78 million
Price at
Regression Analysis



Difference in Capesize Index between 2007 and 2008



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Best Reference

All the ships were sorted based on the net difference, and the ship with the lowest net difference labeling the **Ingenous** as the closest concerning the feature of the Bet Performer.



BUILT IN

1996

DEAD WEIGHT TONNES

170,000

LAST SOLD IN MAY 2007

\$64Million

CAPE SIZE INDEX

6201

Prediction

Removing the bias and outliers, the regression model gives a price of \$125.78 million without any transformations and an average price of \$73.23 million, which is a better estimate if we go solely by the value of R-square.

From the combined analysis if the ship was 5 years younger it would be worth \$163.59m and at a 20,000lighter it would \$132m and 30% lower charter rate would make it \$105.87m.

\$163.6 Million at 6 Years Old



\$132 Million at 152,000 DWT



\$105.87Million at Capesize Index of 8735





Recommendations

Since the ship has aged more than its last sale and 56% left of its lifetime, its value should have decreased. Considering the current market sales in the last 2-month value and bidding for the Bet performer and winning price should exceed \$125Million. Armed with the data, and our reputation of excellence, we recommend an offer below \$90million.

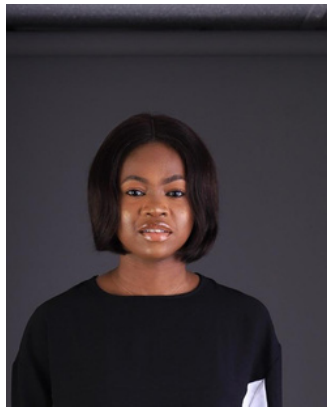
\$75.13Million > \$125.78Million

Optimal Price

Winning



The Team



Chinaemerem Daniel



Dhruv Kandhari



Vedanti Karnik



Manoj Reddy



Satinder Singh



Rajeshwari Patidar



Thank You